

How to use the ETF Premium Dashboard

Ok so we know how the ETF Premium strategy works and how to find ideal trade candidates. But what if you want to analyze the backtests and key data for yourself? What if you want to only trade ETFs with a particular PnL profile?

This is where the ETF Premium Dashboard comes into play.

For this strategy we know from the fact that the ETF is showing up on the scanner that:

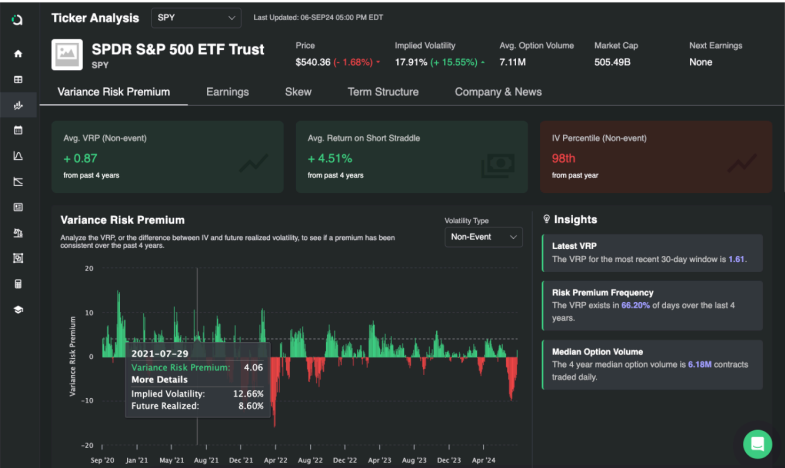
1. There is a variance risk premium over the last 4 years.
2. We have been able to monetize it by selling options on this ETF.
3. Right now is a reasonable time to include this trade in our portfolio.

But what if we wanted to examine the data for ourselves? Maybe we want to see the *shape* of the backtest to its profitability at different points in time. Or maybe we want to pull up the implied and realized volatility over the last couple months to see how they have moved.

These questions (and more) are able to be answered by pulling up the variance risk premium dashboard in the Predicting Alpha terminal.

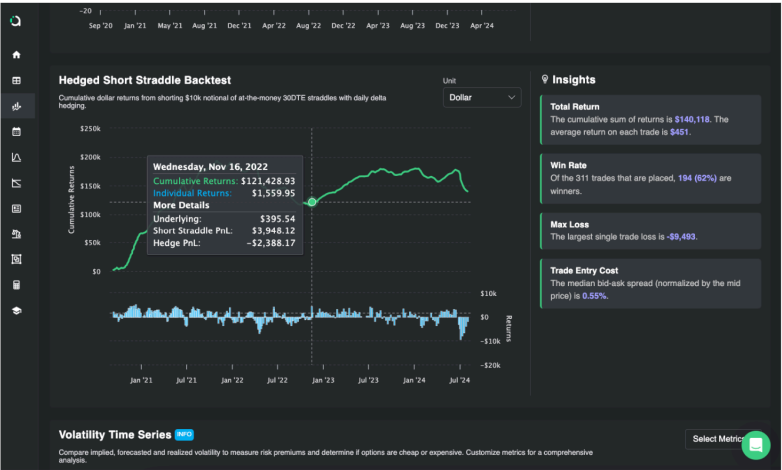
This dashboard shows the chart + analysis for the variance risk premium, the backtest and includes a sandbox for you to plot different IV & RV metrics.

Here's the tools you'll find on the dashboard:



Key Metrics & VRP Chart

- 3 most important metrics right at the top.
- Time series showing you the VRP changes over time + hover analytics for each data point
- VRP Key Insights extracted for you



Straddle Backtest + Insights

- Individual trade and cumulative backtest performance on one chart
- Hover for individual trade analysis
- Backtest Insights extracted for you the the right.



Volatility Sandbox

- Plot different IV and RV metrics to create your own timeseries
- Use the dropdown to plot up to 4 metrics.

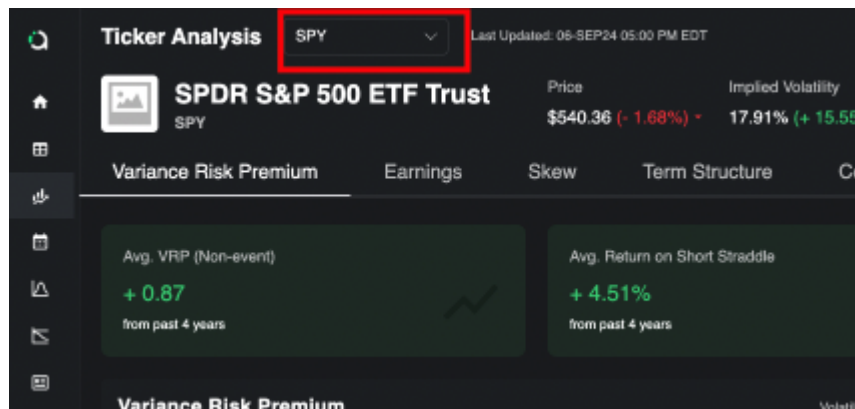
You are able to pull up this data for any ETF by either clicking the “View Report” button on the scanner page, or by typing the ETF’s ticker into the box in the top left corner when you are on the page.

How to access the dashboard:

Here is the button you click to open the dashboard when you are on the scanner:

ETF PREMIUM SCAN - VOLATILITY SCANNER							
Last Updated: Friday, September 06, 03:00 PM EDT							
ETF Premium Scan New Scanner Save Search Ticker Filters: (5) 7 Colu... 20 1 of 1							
Ticker 16 MATCHES 16 SELECTED	Price ↑	Price Chng 1d ↓	Avg Option Volume	VRP Backtest Avg Return ↓	VRP Backtest Max Loss	VRP Backtest Win Rate	VRP Report
XLF Financial Sele...	\$44.22	-1.62%	148.43k	6.34%	-62.74%	63.77%	Open Analysis
XLV Health Care S...	\$153.88	-0.39%	14.26k	5.04%	-119.54%	66.01%	Open Analysis
XLP Consumer Sta...	\$83.12	-0.05%	21.52k	4.94%	-106.08%	63.55%	Open Analysis
USO United States ...	\$68.69	-1.72%	39.54k	4.51%	-162.74%	69.95%	Open Analysis
EWZ iShares MSCI ...	\$29.34	-2.04%	114.56k	4.25%	-54.76%	57.00%	Open Analysis

Here is where you can look up any ETF by typing the ticker (only accessible on the dashboards):



NOTE: You are also able to look up stocks on this page. However, the backtest feature can only be populated for ETFs.

Now that you know what the page generally looks like and how to get to it, let's go over everything in finer detail.

How The Dashboard Helps Answer Core Questions

For each question that we want to answer there is a key feature and metric to help you find the answer. Let's go over them now:

Question	Feature	Metrics	Explanation
Has there been a variance risk premium?	Variance Risk Premium Chart	Latest VRP, Risk Premium Frequency, Median Option Volume	This chart shows us "the shape" of the risk premium, including how often implied volatility has actually been higher than subsequent realized volatility for a ticker. It allows us to see how the VRP has changed over time.
Has the monetization of the risk premium been profitable?	Straddle Performance Backtest	Backtest Performance	This chart shows us the shape of the returns generated from selling options on this ETF. We are able to see any changes in the profitability over time rather than relying solely on the end result of the backtest. For example, we can see if recently the strategy has been profitable for this ticker. This helps determine if selling volatility is profitable after accounting for trade structuring and costs.
Is right now a good time to place a	IV Percentile	IV Percentile	Avoiding high volatility environments helps reduce our risk. When we

trade?			normalize the VRP we see we do not receive extra compensation for trading high IV ranks, so we avoid the added risk that comes with them entirely (we covered this in the chapter on variance risk premium).
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The page is designed so that on a single screen you can see the full picture around the risk premium and analyze it in depth. In one click, you get everything you need to know to make a trade decision.

Dashboard breakdown: chart by chart

The rest of the page allows you to dig into the data behind these key metrics so you can analyze it yourself. This is useful to be familiar with as you become more experienced as an option seller and want to start customizing your analysis.

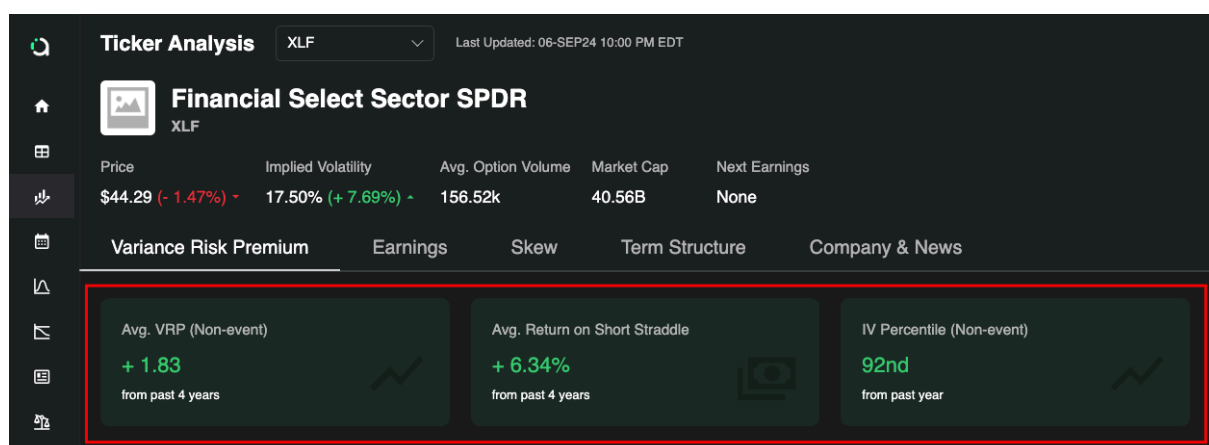
Let's dive deep into the important stuff on this page so you know exactly how to use it.

The key metrics: The three most important metrics are at the top of the page

If we were to boil it all down to the top three most important metrics for the strategy, it would be the following:

1. Average Variance Risk Premium (no earnings vol included):
 - a. Tells us if there is a risk premium over the last 4 years.
2. Average Return on Short Straddle:
 - a. Tell us if we have been able to monetize it.
3. IV Percentile (no earnings vol included):
 - a. Tell us if now is a reasonable time to be including the trade in our portfolio.

As you would expect with important metrics, they can be found right at the top of the Variance Risk Premium page for each ETF.



Here is a breakdown of what these metrics mean and some ideas about how you can interpret them

METRIC	DEFINITION	INTERPRETATION
Average VRP	The average spread between implied volatility (30 day) and the subsequent realized volatility over the last 4 years.	We want to trade ETFs that have an established VRP. Seeing a positive VRP confirms our hypothesis that the market behaviors that make option selling profitable on average are present for the ETF we are analyzing.
Avg. Return on Short Straddle	The average performance (%) of selling 30 DTE ATM straddles, delta hedged daily, over the last 4 years.	When the performance is positive, it means that historically selling options has been profitable even after considering costs, delta hedging and slippage. Simply put, it means the VRP is actually profitable to trade.
IV Percentile	Current percentile of 30 day implied volatility compared to last year.	High IV percentile means that we will likely experience higher variance in our returns. Since VRP tends to be present at all IV levels, we typically want to avoid selling options during “catastrophic” events, which can be indicated by very high IV Percentiles (95%+)

Variance Risk Premium Over Time

This graph takes the 30 day implied volatility and compares it to the subsequent realized volatility experienced over that period. This data point is created for every single day over the last 4 years and allows for a very unique look at the historical risk premium observed for a stock.

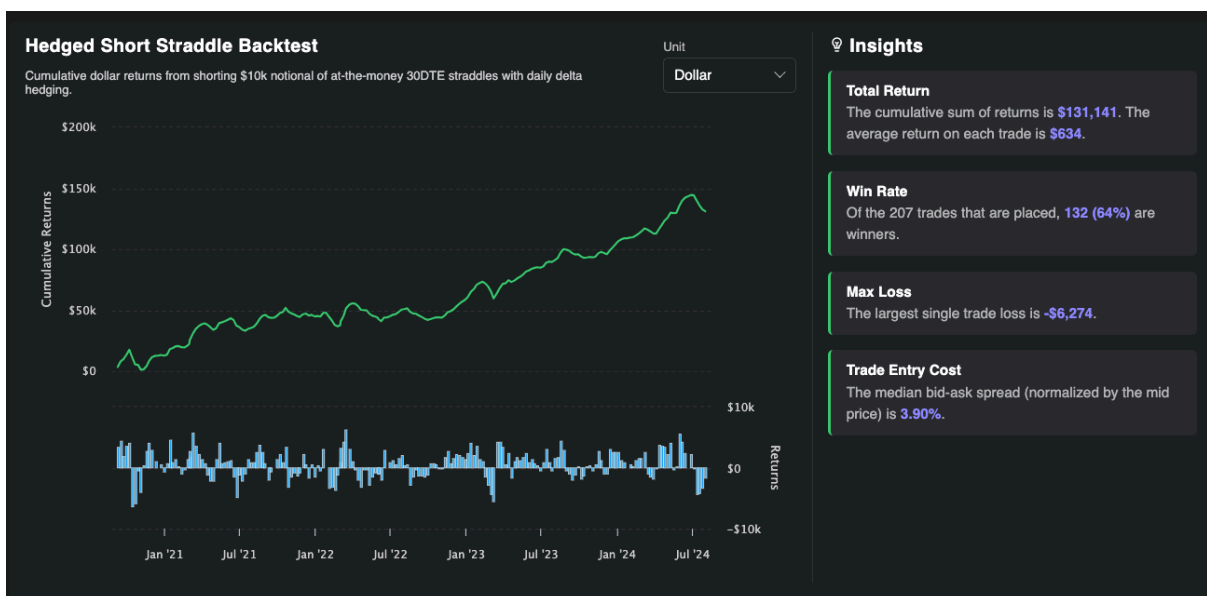
Since our core strategy is based around the idea that the average historical risk premium should continue to persist, being able to see the “shape” of this premium historically can also give us some valuable insights.



You can combine this visualization with your understanding of volatility characteristics to determine if what we are seeing is a normal circumstance or something strange for how the variance risk premium is supposed to work. For example, we know that the way short volatility strategies are supposed to work is that you are supposed to see many small winners and the occasional big loser (similar to how insurance works). Which means that the standard shape of this graph should be “mostly green, sometimes big red”.

You can look at SPY as a case study and as a good benchmark to put up against other tickers. With this analysis you can, for example, look for tickers that have much more green than you see with SPY. or with smaller drawdowns, or a higher average VRP. These are all things that are made possible because of this graph.

Straddle Performance Backtest



If we could only have the answer to one question for each ETF, it would be this:

Has selling options here made money?

For every ETF you are able to see a 4 year backtest of how selling 30 DTE, at-the-money straddles has performed.

The backtest works by analyzing historical options for a ticker and every time there was a 30 DTE straddle available, a trade would be placed.

The backtest works by trading \$10,000 worth of the straddle, which is then delta-hedged once daily for the duration of the trade. The trade is held until expiration. The PnL that you see is the sum of the returns from each trade, taking into account the delta hedging costs, bid-ask costs (assuming you cross the spread on entry), and transaction costs (\$0.50 per leg).

This is the holy grail of option selling insights. An up-to-date backtest with individual trade breakdowns and key metrics extracted for you.

One of the benefits of seeing the backtest for yourself is that you can get an idea of the “shape” of the returns that have happened.

1. Should we expect steady returns and the occasional big loser?
2. Is the PnL very choppy?
3. Did the PnL go from being very positive and become negative recently?
4. Did the PnL go from being negative to being positive recently?

These are the kinds of questions that we can only answer by actually observing the backtest results for ourselves. These are important questions to help us set reasonable expectations of the future and in the case of the last couple of questions, they can dramatically impact the way we think about the risk premium for a ticker.

If you want to get some insights into what happened on a specific trade, you can hover over the data point for that trade. The a tooltip will pop up and share with you the trade details you see below:



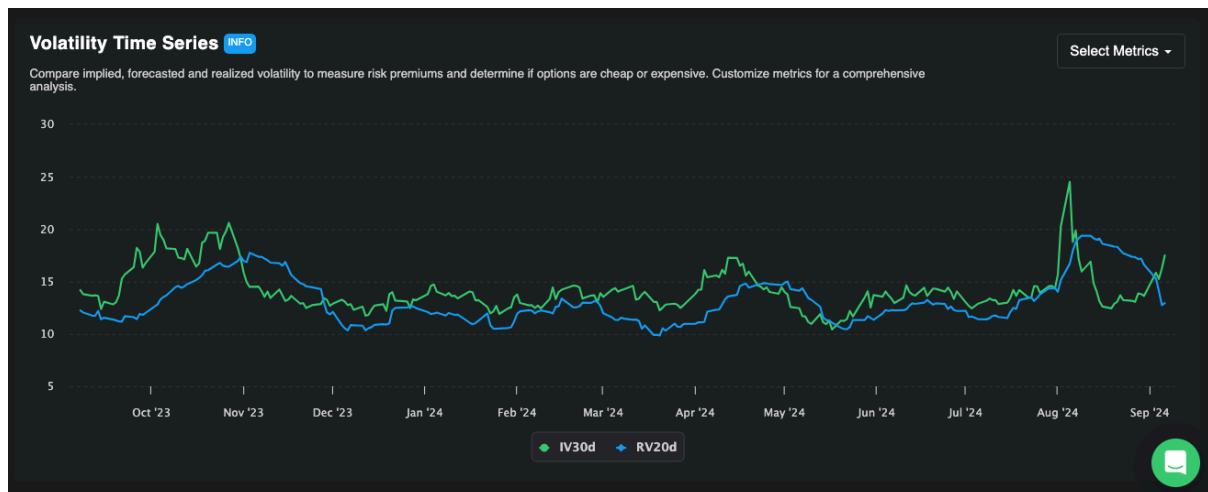
This tool tip gives you everything you need to know to understand what happened for that trade. The entry & exit prices, what the DTE and strike would be for the trade on that day, and the exact performance.

This is by far the most powerful chart that you have access to. So it's really important that you are entirely familiar with it. If you have any questions, use the green chat bubble in the bottom right corner of the terminal to send me a message. I will be happy to help you out.

Plot your own volatility charts

At the bottom of the dashboard is a tool which gives you the option for more context around the ETF you are analyzing. It's a simple way for you to visualize the changes in volatility for a ticker over time.

The chart is called the volatility time series. This chart is used to see how implied and realized volatility levels have changed over time for different expirations.



By default, this will have the IV 30d and RV 20d populated. Basically allows you to see the relationship between IV and RV historically. You are able to adjust the data on this chart by using the input menu in the top right corner. This will allow you to change the expirations you are looking at.

Why is everything focused on the 30 DTE expiration?

When it comes to observing the risk premium for an ETF, our guiding philosophy is that there either is the existence of a risk premium that we can monetize or there is not. The “edge” should be large enough and clear enough that we can monetize it and small changes in DTE or strikes should not drastically impact our results.

As traders we have some serious hurdles to overcome. We have high transaction costs, slippage, and hedging costs. If the risk premium we are looking to monetize is not large enough to overcome these, then it is not one we should be trading. And if it *is* large enough to overcome these, then it should be easily observed in a standardized process.

This is why we focus on the 30 DTE variance risk premium. This is the easiest way to observe the existence of the risk premium.

And then when it comes to our DTE and strike selection, we are primarily picking based on how it helps us monetize the risk premium (reduce transaction costs, less delta hedging requirements).

How to customize the scanner

Let's say that over time you discover that there is a particular factor you care about that heavily influences your trades. Hypothetically, let's say it's the win rate for selling options..

You have now decided that you only take trades where the win rate is greater than 60%.

You can actually update your scanner to add this new criteria.

Here's how you do it:

Step 1: Go to the scanner

ETF PREMIUM SCAN - VOLATILITY SCANNER

Last Updated: Friday, September 06, 10:00 PM EDT

Video Demo

Discord

ETF Premium Scan

New Scanner

Save

Settings

Refresh

Filter

Search Ticker

Filters: (5)

7 Columns

20

1 of 1

Ticker 16 MATCHES 16 SELECTED	Price ↑	Price Chng 1d ↑	Avg Option Volume	VRP Backtest Avg Return ↓	VRP Backtest Max Loss	VRP Backtest Win Rate	VRP Report
XLF Financial Sel...	\$44.29	-1.47%	156.52k	6.34%	-62.74%	63.77%	Open Analysis
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EWZ iShares MSC...	\$29.36	-1.97%	112.97k	4.25%	-54.76%	57.00%	Open Analysis
ASHR Xtrackers Har...	\$22.88	-1.25%	5.92k	3.93%	-129.94%	61.58%	Open Analysis
JETS ESS U.S.Glo...	\$18.59	-0.85%	14.63k	3.60%	-76.35%	56.57%	Open Analysis
GLD SPDR Gold S...	\$230.63	-0.74%	155.9k	2.92%	-83.37%	57.97%	Open Analysis
EWW iShares MSC...	\$51.42	-1.13%	6.83k	2.09%	-249.27%	61.36%	Open Analysis
UNG United States...	\$14.32	0.99%	26.99k	1.76%	-75.47%	59.09%	Open Analysis

Step 2: Click the filters button

The screenshot shows the top navigation bar of the VRP Backtest interface. It includes a refresh button, a blue circle icon, a search bar labeled 'Search Ticker', and a 'Filters: (5)' button which is highlighted with a red rectangular box. To the right of the filters button is a button labeled '7 Colu...' with a close icon and a dropdown arrow. Below the navigation bar, the first row of the table shows column headers: 'VRP Backtest Avg Return' (with a downward sort arrow), 'VRP Backtest Max Loss' (with an upward sort arrow), and 'VRP Backtest Win Rate' (with an upward sort arrow). The second row of the table displays the corresponding values: '156.52k', '6.34%', '-62.74%', and '63.77%'.

Step 3: Open the VRP data points dropdown

FILTER SETTINGS

VOLATILITY

VARIANCE RISK PREMIUM

VRP 1d ? (pts)	min	-	max	⌂	Avg VRP 10d ? (pts)	min	-	max	⌂
Avg VRP 1y ? (pts)	min	-	max	⌂	Avg VRP 4y ? (pts)	0	-	max	⌂
VRP Win Rate 4y ? (pts)	min	-	max	⌂	NEVRP 1d ? (pts)	min	-	max	⌂
Avg NEVRP 10d ? (pts)	min	-	max	⌂	Avg NEVRP 1y ? (pts)	min	-	max	⌂
Avg NEVRP 4y ? (pts)	min	-	max	⌂	NEVRP Win Rate 4y ? (pts)	min	-	max	⌂
VRP Backtest Avg Return (pts)	0	-	max	⌂	VRP Backtest Max Loss (pts)	min	-	max	⌂
VRP Backtest Win Rate (pts)	min	-	max	⌂					

Clear All Filters **Dismiss**

United States... \$14.32 0.99% 26.99k 1.78% -75.47% 59.09% **Open Analysis**

Step 4: Go to the win rate filter and set a minimum of “60”

FILTER SETTINGS

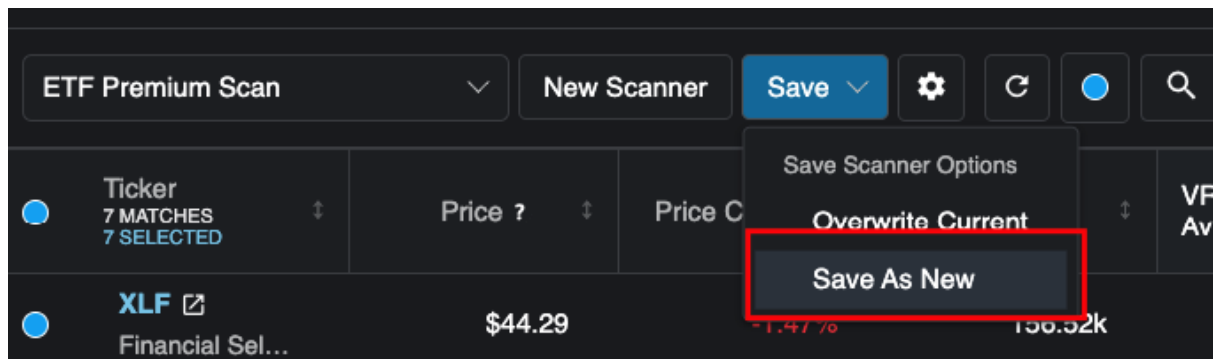
VOLATILITY

VARIANCE RISK PREMIUM

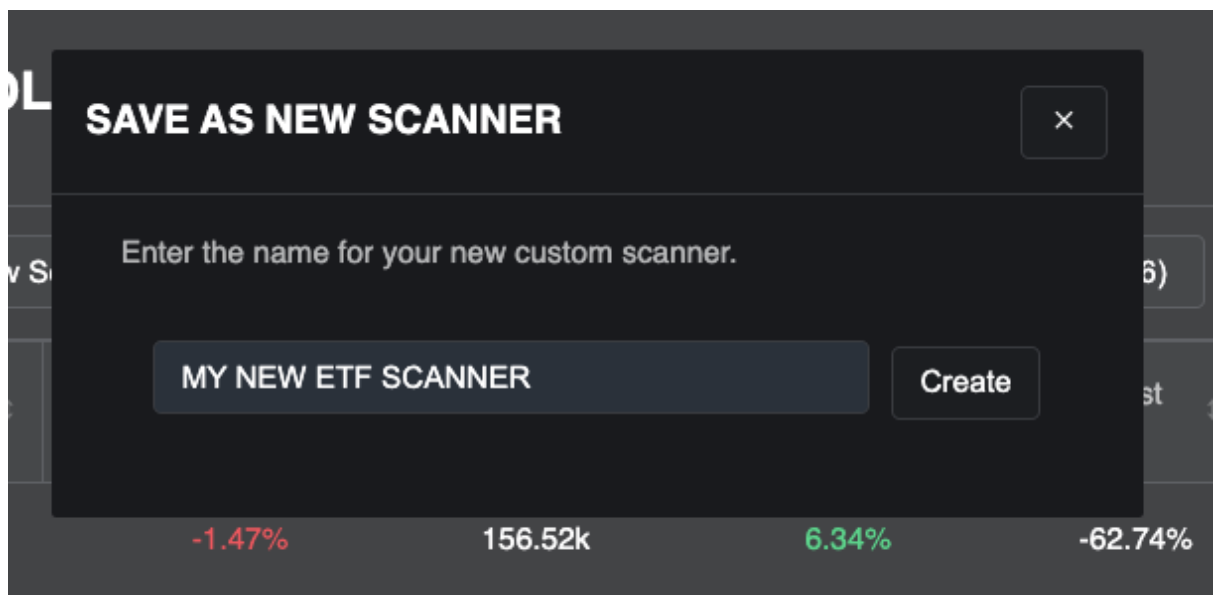
VRP 1d ? (pts)	min	-	max	⌂	Avg VRP 10d ? (pts)	min	-	max	⌂
Avg VRP 1y ? (pts)	min	-	max	⌂	Avg VRP 4y ? (pts)	0	-	max	⌂
VRP Win Rate 4y ? (pts)	min	-	max	⌂	NEVRP 1d ? (pts)	min	-	max	⌂
Avg NEVRP 10d ? (pts)	min	-	max	⌂	Avg NEVRP 1y ? (pts)	min	-	max	⌂
Avg NEVRP 4y ? (pts)	min	-	max	⌂	NEVRP Win Rate 4y ? (pts)	min	-	max	⌂
VRP Backtest Avg Return (pts)	0	-	max	⌂	VRP Backtest Max Loss (pts)	min	-	max	⌂
VRP Backtest Win Rate (pts)	60	-	max	⌂					

Clear All Filters **Dismiss**

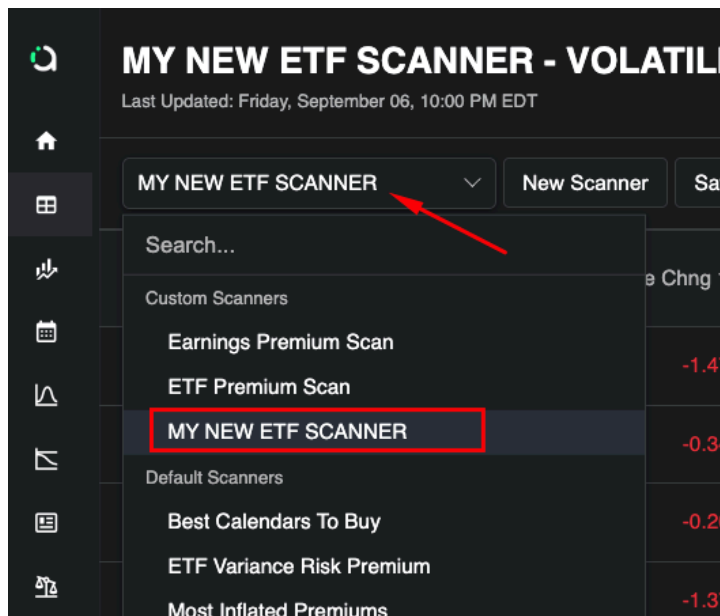
Step 5: Save the scanner as a new scanner (you can't write over the defaults)



Final step: Give it a name and click “create”!



And that's it. Every time you sign into the terminal now you will have your new scanner in the list of scans that you have access to.



Disclaimer: untested data points

All of these extra data points give you the flexibility to examine and iterate on the earnings strategy. By providing these data points we are not saying you need to use them nor that the way you will choose to use them will improve your results.

As we spent the majority of our time together saying: the core of this strategy is that people are willing to pay a premium for protection on different industries and sectors and we can extract that premium.

That's it.

Our core recommendation is to keep it boring, especially until you have a good grasp on running these strategies. But if you have an idea, you have the tools to explore it and adjust the way things are presented to you to help you express your ideas on the market.

We have officially covered everything for the ETF Premium Strategy.

So go put together your first portfolio. Place some trades. Meet the other traders running this strategy. And then take a break and go enjoy life (that's what we are trying to do more of by trading, right?!)

Once you are ready to keep going, meet me in the next chapter where we talk about the Earnings Premium Strategy.